

INDUSTRIAL POLICY, 1991 REFORMS, PSUS AND DISINVESTMENT

INDUSTRIAL-POLICY CHRONOLOGY → LICENCE-TO-COMPETITION TRANSITION → REFORM-PACKAGE MAP → OWNERSHIP-CHANGE SPECTRUM → AIR INDIA STATUS CHAIN → NEW PSE POLICY MAP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 INDUSTRIAL-POLICY CHRONOLOGY

INDUSTRIAL-POLICY CHRONOLOGY

MIXED-ECONOMY ROLE

SCHEDULES A

C + COMMANDING HEIGHTS

MODERNISATION + SELECTIVE DELICENSING

SYSTEMIC DELICENSING + WIDER REFORM PACKAGE

1948 → mixed-economy role

1956 → Schedules A / B / C + commanding heights

1980s → modernisation + selective delicensing

1991 → systemic delicensing + wider reform package

DATED SERIES / INSTRUMENT

- 1948 → mixed-economy role
- 1956 → Schedules A / B / C + commanding heights

WHAT CHANGED

- 1980s → modernisation + selective delicensing
- 1991 → systemic delicensing + wider reform package

COMPARABILITY / STATUS LIMIT

- 1948 → mixed-economy role
- 1956 → Schedules A / B / C + commanding heights

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 1991 → systemic delicensing + wider reform package.

01

STAGE 01 LICENCE-TO-COMPETITION TRANSITION

LICENCE-TO-COMPETITION TRANSITION

LICENCE RAJ

ENTRY + CAPACITY + LOCATION CONTROLS

WIDER FIRM CHOICE

PRODUCTIVITY PRESSURE

REGULATION REMAINS

STANDARDS + ENVIRONMENT + MARKET POWER

LICENCE RAJ → entry + capacity + location controls

DELICENSING → wider firm choice

COMPETITION → productivity pressure

REGULATION REMAINS → standards + environment + market power

CONCEPT / ACCOUNTING BASIS

- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

TRANSMISSION / RECONCILIATION

- COMPETITION → productivity pressure
- REGULATION REMAINS → standards + environment + market power

DISTRIBUTIONAL / STABILITY LIMIT

- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REGULATION REMAINS → standards + environment + market power.

02

STAGE 02 REFORM-PACKAGE MAP

REFORM-PACKAGE MAP

INDUSTRIAL DELICENSING

TRADE OPENING

EXCHANGE-RATE REFORM

FINANCIAL REFORM

CONNECTED, NOT ISOLATED

INDUSTRIAL DELICENSING

TRADE OPENING

EXCHANGE-RATE REFORM

FINANCIAL REFORM → connected, not isolated

CONCEPT / ACCOUNTING BASIS

- INDUSTRIAL DELICENSING
- TRADE OPENING

TRANSMISSION / RECONCILIATION

- EXCHANGE-RATE REFORM
- FINANCIAL REFORM → connected, not isolated

DISTRIBUTIONAL / STABILITY LIMIT

- INDUSTRIAL DELICENSING
- TRADE OPENING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXCHANGE-RATE REFORM; FINANCIAL REFORM → connected, not isolated.

03

STAGE 03 OWNERSHIP-CHANGE SPECTRUM

OWNERSHIP-CHANGE SPECTRUM

MINORITY SALE

GOVERNMENT CONTROL RETAINED

STRATEGIC DISINVESTMENT

STAKE + MANAGEMENT CONTROL

CONTROL PASSES TO PRIVATE BUYER

SEPARATE RESTRUCTURING ROUTES

MINORITY SALE → government control retained

STRATEGIC DISINVESTMENT → stake + management control

PRIVATISATION → control passes to private buyer

CLOSURE / MERGER → separate restructuring routes

MEASURE / INSTITUTION

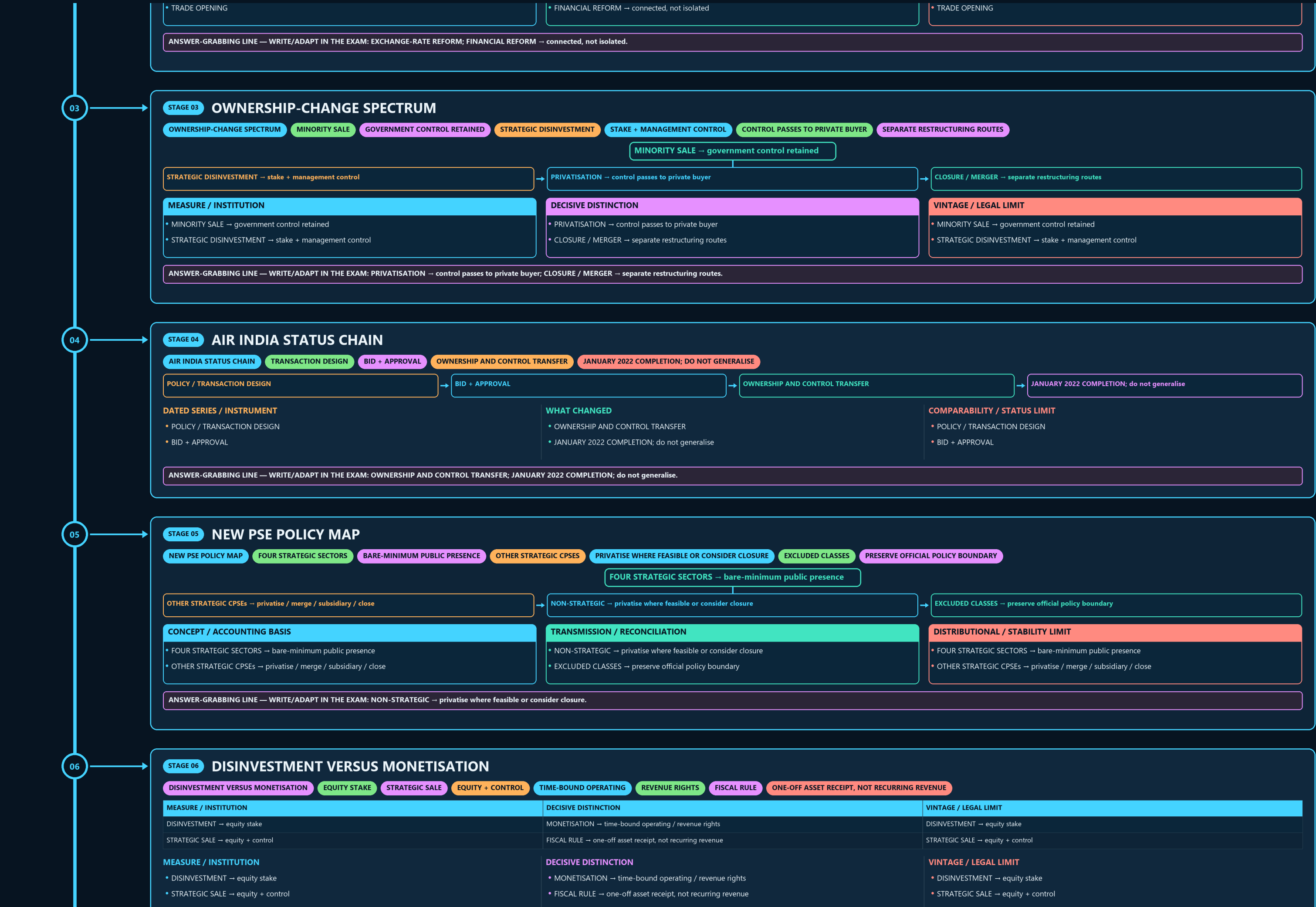
- MINORITY SALE → government control retained

DECISIVE DISTINCTION

- PRIVATISATION → control passes to private buyer

VINTAGE / LEGAL LIMIT

- MINORITY SALE → government control retained



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NON-STRATEGIC → privatise where feasible or consider closure.

06

STAGE 06 DISINVESTMENT VERSUS MONETISATION

DISINVESTMENT VERSUS MONETISATION EQUITY STAKE STRATEGIC SALE EQUITY + CONTROL TIME-BOUND OPERATING REVENUE RIGHTS FISCAL RULE ONE-OFF ASSET RECEIPT, NOT RECURRING REVENUE

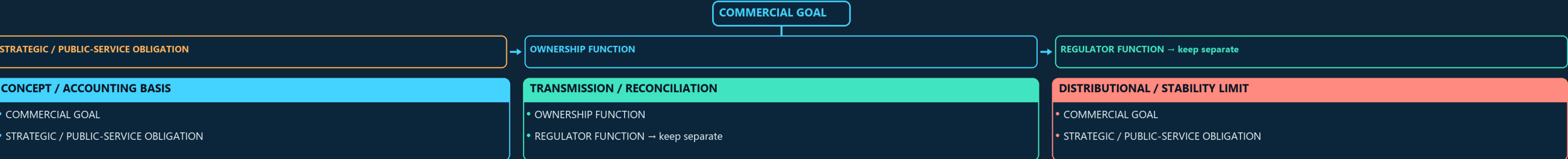
MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
DISINVESTMENT → equity stake	MONETISATION → time-bound operating / revenue rights	DISINVESTMENT → equity stake
STRATEGIC SALE → equity + control	FISCAL RULE → one-off asset receipt, not recurring revenue	STRATEGIC SALE → equity + control
MEASURE / INSTITUTION - DISINVESTMENT → equity stake - STRATEGIC SALE → equity + control	DECISIVE DISTINCTION - MONETISATION → time-bound operating / revenue rights - FISCAL RULE → one-off asset receipt, not recurring revenue	VINTAGE / LEGAL LIMIT - DISINVESTMENT → equity stake - STRATEGIC SALE → equity + control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL RULE → one-off asset receipt, not recurring revenue.

07

STAGE 07 PSU MANDATE BOARD

PSU MANDATE BOARD COMMERCIAL GOAL PUBLIC-SERVICE OBLIGATION OWNERSHIP FUNCTION REGULATOR FUNCTION KEEP SEPARATE



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STRATEGIC / PUBLIC-SERVICE OBLIGATION; OWNERSHIP FUNCTION; REGULATOR FUNCTION → keep separate.

08

STAGE 08 COMPETITION SAFEGUARD CHAIN

COMPETITION SAFEGUARD CHAIN PRIVATISATION WITHOUT CONTESTABILITY PRIVATE MARKET POWER QUALITY RISK NEED COMPETITION LAW + SECTOR REGULATION



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRICE / QUALITY RISK; NEED competition law + sector regulation.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS SECOND PLAN BASIC INDUSTRY MODERNISATION + PRODUCTIVITY TECHNOLOGY + EARLY DELICENSING POST-1991 INDUSTRIAL + FINANCIAL REFORM

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
SECOND PLAN → heavy / basic industry	SEVENTH → technology + early delicensing	SECOND PLAN → heavy / basic industry
SIXTH → modernisation + productivity	EIGHTH → post-1991 industrial + financial reform	SIXTH → modernisation + productivity
MEASURE / INSTITUTION - SECOND PLAN → heavy / basic industry - SIXTH → modernisation + productivity	DECISIVE DISTINCTION - SEVENTH → technology + early delicensing - EIGHTH → post-1991 industrial + financial reform	VINTAGE / LEGAL LIMIT - SECOND PLAN → heavy / basic industry - SIXTH → modernisation + productivity

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEVENTH → technology + early delicensing; EIGHTH → post-1991 industrial + financial reform.

09

STAGE 09 PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS SECOND PLAN BASIC INDUSTRY MODERNISATION + PRODUCTIVITY TECHNOLOGY + EARLY DELICENSING POST-1991 INDUSTRIAL + FINANCIAL REFORM

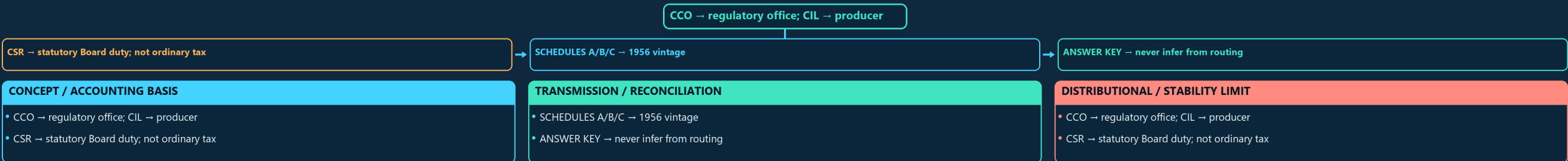
MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
SECOND PLAN → heavy / basic industry	SEVENTH → technology + early delicensing	SECOND PLAN → heavy / basic industry
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MEASURE / INSTITUTION • SECOND PLAN → heavy / basic industry • SIXTH → modernisation + productivity	DECISIVE DISTINCTION • SEVENTH → technology + early delicensing • EIGHTH → post-1991 industrial + financial reform	VINTAGE / LEGAL LIMIT • SECOND PLAN → heavy / basic industry • SIXTH → modernisation + productivity

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEVENTH → technology + early delicensing; EIGHTH → post-1991 industrial + financial reform.

10

STAGE 10 OBJECTIVE PYQ DISTINCTIONS

OBJECTIVE PYQ DISTINCTIONS REGULATORY OFFICE; CIL STATUTORY BOARD DUTY; NOT ORDINARY TAX SCHEDULES A/B/C 1956 VINTAGE ANSWER KEY NEVER INFER FROM ROUTING



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CSR → statutory Board duty; not ordinary tax.

11

STAGE 11 INDUSTRIAL-POLICY ANSWER SPINE

INDUSTRIAL-POLICY ANSWER SPINE TRACE CHRONOLOGY AND BINDING CONSTRAINT DISTINGUISH LICENSING, OWNERSHIP AND CONTROL TEST COMPETITION, CAPABILITY, JOBS AND REGIONS CONCLUDE WITH EXPLICIT MANDATES + REVIEW



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TEST competition, capability, jobs and regions; CONCLUDE with explicit mandates + review.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT FIRST-GENERATION REFORMS IMPROVED PRODUCT MARKETS; LATER REFORMS FOCUS ON A PSU MANDATE SHOULD SEPARATE COMMERCIAL GOALS, EXPLICIT PUBLIC-SERVICE DISINVESTMENT VALUATION DEPENDS ON CONTROL PREMIUM, MARKET CONDITIONS, LIABILITIES STRATEGIC INDUSTRIAL POLICY NEEDS MEASURABLE SPILLOVERS AND SUNSET OR TRADE EXPOSURE RAISES COMPETITIVE PRESSURE BUT FIRMS NEED INFRASTRUCTURE THE RELEVANT CHOICE IS NOT STATE VERSUS MARKET, BUT DEPARTMENT FOR PROMOTION OF INDUSTRY AND INTERNAL TRADE

OPTIONAL MODEL / MEASUREMENT DEPTH • CAUTION: First-generation reforms improved product markets; later reforms focus on factors, • CAUTION: A PSU mandate should separate commercial goals, explicit public-service obligations and • CAUTION: Disinvestment valuation depends on control premium, market conditions, liabilities, • CAUTION: Strategic industrial policy needs measurable spillovers and sunset or review clauses to	VINTAGE, BASKET OR LEGAL LIMIT • CAUTION: Trade exposure raises competitive pressure but firms need infrastructure, finance and • CAUTION: The relevant choice is not state versus market, but which institution solves a specific • Department for Promotion of Industry and Internal Trade: coordinates industrial • Department of Public Enterprises: frames public-enterprise policy and performance	COMPARATIVE POLICY NUANCE • DIPAM: manages Union government disinvestment and asset-management transactions. • Competition Commission of India and sector regulators: preserve contestability after • CAUTION: A minority market sale broadens ownership but leaves management control with • CAUTION: A strategic sale transfers control and therefore changes incentives more deeply than a
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OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.